

CHAPTER SIX

YOUR LOAN, PLUS A WHOLE LOT OF ACRONYMS

Not everyone is a financial or mathematical genius. If you haven't touched a calculator since high school, we're here to tell you that's okay—you don't need to be a genius to understand the basics of mortgage loans. (And you don't need one of those fancy \$200 calculators they made you buy in high school. Psh, what a scam.)

Before we talk about lenders, we should lay the foundation by talking about loans. A mortgage may seem as mysterious as a platypus, but there is a system behind the loan itself—a complex system, but a system nonetheless. Though each monthly mortgage payment is nowhere near as simple as a rent payment, it is made of consistent, predictable parts. By understanding each of these parts, you'll come to understand mortgages and be better equipped to find the best possible loan.

WHAT IS A MORTGAGE PAYMENT, REALLY?

Your mortgage payment is more than just a big chunk of change to which you bid a woeful farewell each month. When you break down the payment, it consists of four parts: principal, interest, taxes, and insurance. This is often referred to as PITI (and it's a PITI that no one came up with a better name).

PITI is a common acronym used by your future lender. They won't (or they shouldn't) expect you to know all this on your own, and they will break down each of these pieces when you apply for your loan. However, to give you an idea of what you're signing up for, here's a breakdown of PITI and all it entails.